



V-Mart Retail numbers were below our expectations on topline and bottomline.

Outlook

- **Unfavorable times:** Higher Competitive intensity, integration costs of newer business, inflation impacting target customer hit V-Mart at One-Go. *We do fear mark-downs for inventory clearance.*
- ROCE recovery to previous levels of 15-16% would take few quarters (4-6 quarters) as legacy stores of Unlimited in the South, integration of Lime-Road and capex incurred for warehouse will take its own time to generate higher profitability
- **Working on bringing-back mass consumers:** Re-introduced important lower-price points which impacts ASP's and margins
- Store target for FY23 @ 55

Key Financial Highlights:

- Revenue at 7768.84 mn, +12.3% YoY/+53.5% QoQ
- Core V-Mart business grew by 8% YoY to Rs 6215mn , Unlimited by 12% to Rs 1321mn.
- New business Lime-Road contributed 3% towards overall Revenue at Rs 233mn
- EBITDA at Rs 1037 mn, dropped 23.38% YoY and was higher by 93.5% QoQ (on account of seasonality)
- EBITDA margins dropped to 13.3% as against 19.6% YoY on account of unfavourable product mix due to delayed winters, higher investments spends on online business and one-time integration cost of Rs 118mn towards Lime Road integration.
- PAT at Rs 199.72mn was down 65% on a YoY basis and was a loss of Rs 113mn in Q2FY23.

Financial Summary

Y/E Mar (Rs mn)	FY21E	FY22E	FY23E	FY24E	FY25E
Net sales	10,755	16,662	24,223	29,189	33,640
Adjusted net profit	(62)	116	135	284	824
Free cash flow	469	(621)	189	2,019	2,557
EPS (Rs)	(3.1)	5.9	6.8	14.4	41.7
P/E (x)	(809.3)	432.3	373.5	177.2	61.2
P/B (x)	6.1	5.9	5.8	5.7	5.2
EV/EBITDA (x)	42.4	28.9	20.7	17.9	14.9
D/E	-	-	0.1	0.1	0.0
RoCE (%)	3.4	8.7	13.4	16.2	21.7
RoE (%)	(0.8)	1.4	1.6	3.2	8.5
Dividend yield (%)	-	-	0.0	0.1	0.1

Source: Company, Dalal & Broacha Research

Rating	TP (Rs)	Up/Dn (%)
BOOK PROFIT	2,575	1

Market data

Current price	Rs	2,547
Market Cap (Rs.Bn)	(Rs Bn)	50
Market Cap (US\$ Mn)	(US\$ Mn)	610
Face Value	Rs	10
52 Weeks High/Low	Rs	4,036 / 2,406
Average Daily Volume	('000)	31
BSE Code		534976
Bloomberg		VMART.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-22	Sep-22
Promoters	45.79	46.10
Public	54.21	53.90
Total	100	100

Source: BSE

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Conference Call Key Takeaways

DEMAND (industry level)

- Rush in pent-up demand especially in Urban centric and Tier-1 level stores has come down
- Inflation in general is settling lower aiding consumer confidence.
- Mass-level consumer's income levels is improving
- Elections in the coming year would have some positive and negative impacts
- Tier-1 still better than Tier2,3 and 4.
- Winter demand pushed to Jan-23 from Dec-22.

Gross Margins

- Lowest in the last 4-5 years (in 3rd quarter) as lower price point products re-introduced.
- Target 32-33% in core V-Mart and 37-38% in Un-Limited (weighted Average 34%)
- ASP flat YoY || still below FY20 levels
- Cotton prices down 40% (currently) from the peak however winter stocks have a higher cost as were booked 2-3 months in advance. Summer season stocks will be available at the lower price point but will be fully passed on to the consumer.

COMPETITION: has increased

- Large players have expanded in V-Mart related markets
- Merchandise too offered at competitive pricing

UNLIMITED integration

- SSS growth was positive in-line with V-Mart on a YoY basis
- Newly opened stores (8000sqft) are performing in-line with V-Mart stores with sales-per-sqft higher by 20-25%
- Older Store are still lower than average.

ONLINE business

- **LIME ROAD:**
 - Integration (since Nov-22) and teething issues continue
 - *Sales include only commission income, however costs include marketing, logistics, technology spends*
 - Capex spent in the range of Rs 360-370mn
 - Rs 200 to 300mn would be spent on working capital
 - Not a very high cash burn business as it has good customers with high retention rate
 - Will spend not more than 15-20% of V-marts current level EBITDA on this business

- Earlier average spends per quarter towards online business including Vmartretail.com and market places was Rs 40-Rs50mn per quarter. Q3FY23 was Rs 363mn (including one time integration related expenses of LimeRoad business of Rs 118mn)
- Overall focus is to create digital-experience for customers

OTHER FINANCIALS

- **SSS:** growth was positive on an overall basis, but still lower to Pre-Covid.
- **Inventory:** at 106 days higher than expectations @ Rs 7667mn due to winter being pushed in Jan and higher levels maintained for Un-Limited stores. Aim to reach 90 days.
- **Core-level EBIDTA** for only V-Mart business was 17% || unlimited business was too at similar levels but new acquisition related expenses reduced the over EBIDTA to 13.3%
- **Other Expenses:** Excluding online related expenses was up by 9.5% as per management.
- Ware-house development status: 70% done. Operations to commence from March-2023.
- **CAPEX:** Rs 1890mn spent in YTD (including new store + warehouse + acquisition). Phase-1 of warehouse to start from March 2023 || **Free Cash-Flow:** Free Cash Flows: Rs. -496 mn (previous year: Rs. -1,606 mn)

Quarterly Performance Analysis

Exhibit 1

Particulars (Rs Mns)	Q3FY23	Q2FY22	YoY (%)	Q2FY23	QoQ (%)
Revenue	7,768.84	6,920.18	12.26%	5,061.59	53.49%
Other Income	6.96	25.97	-73.19%	26.55	-73.78%
Total	7,775.80	6,946.14		5,088.14	
Total RM Cost	5,017.35	4,359.55	15.09%	3,224.18	55.62%
Gross Profit	2,751.49	2,560.63	7.45%	1,837.41	49.75%
Employee Cost	762.86	535.00	42.59%	559.93	36.24%
Other Expenses	951.78	672.48	41.53%	741.60	28.34%
Total	6,731.99	5,567.03		4,525.71	
EBIDTA	1,036.85	1,353.15	-23.38%	535.88	93.48%
Depreciation	472.74	403.81	17.07%	440.54	7.31%
EBIT	571.07	975.30	-41.45%	121.89	368.53%
Interest Cost	306.95	211.61	45.06%	278.71	10.13%
PBT and exceptional item	264.12	763.69		(156.82)	
exceptional item	-	-		-	
PBT	264.12	763.69	-65.42%	(156.82)	-268.42%
Taxes	64.40	192.57		(43.69)	
Reported PAT	199.72	571.13	-65.03%	(113.14)	-276.53%
EPS	10.10	28.93		(5.72)	
as a % to sales					
RM	64.6%	63.0%		63.7%	
GPM	35.4%	37.0%	-1.6%	36.3%	-0.9%
Employee Costs	9.8%	7.7%		11.1%	
Other expenses	12.3%	9.7%		14.7%	
OPM	13.3%	19.6%	-6.21%	10.6%	2.76%
Tax rate (on PBT)	24.4%	25.2%		27.9%	

Source: Dalal & Broacha Research, Company

Exhibit 2

Particulars	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22	Q1FY23	Q2FY23	Q3FY23
Stores	274	279	282	368	374	380	391	405	414
Net Additions	10	5	3	86	6	6	11	14	9
Retail Space YTD in lacs Sq feet	23.0	23.00	23.20	31.99	33.00	33.00	34.00	36.00	37.00
Increase	1.00	0.00	0.20	8.79	1.01	0.00	1.00	2.00	1.00
Sales Per Sq Ft Per Mth In Rs as per Presentation	895	569	533	347.00	860.00	380.00	626.00	516.00	766.00
Sales Per Sq Ft Per Mth * 3 (for Qtr)	2685	1707	1599	1041	2580	1140	1878	1548	2298
Growth	-4.9%	-8.1%	49.3%	16.1%	-3.9%	-33.2%	17.4%	48.7%	-10.9%
Average Sq Ft per Store	8394	8244	8227	8692	8824	8684	8696	8889	8937
SSS Growth YTD									
- Value %	-50%	-40%	119%	82%	36%	23%	137%	57%	30%
- Volume %	-52%	-41%	103%	75%	39%	21%	124%	49%	29%
Segment Contribution									
-Fashion (%)	92	91	91	91	93	91	91	88	90
-Kirana (%)	8	9	9	9	7	9	9	12	10
Total	100	100	100	100	100	100	100	100	100
Sales Mix									
Apparels (%)	79.3	77.9	80	79.4	81.6	80.1	80.7	77.4	79.4
Non Apparels (%)	14	12.7	10.7	11.2	11.1	10.8	9.9	10.3	10.9
Kirana (%)	6.7	9.4	9.3	9.4	7.3	9.1	9.4	12.3	9.7
Total	100	100	100	100	100	100	100	100	100

Source: Dalal & Broacha Research, Company

Exhibit 3

Particulars	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22	Q1FY23	Q2FY23	Q3FY23
FootFall (lacs)	83	72	31	66	111	80	102	95	126
Conversion Rate	62%	61.10%	70.70%	64.60%	60.60%	63.00%	62.20%	61.80%	55.00%
Shrinkage	NA	1.30%	4.90%	NA	NA	-0.60%	0.05%	-0.20%	0.20%
Average Selling Price (Rs)									
Total (Rs)	262	202	193	197	292	244	233	223	291
Total Vmart						220			
Total Unlimited						523			
Apparels (Rs.)	446	327	295	302	503	411	370	384	500
Apparels Vmart						384			
Apparels Unlimited						568			
Transaction size (Rs)									
Vmart	968	851	848	838	1096	981	994	961	1044
Unlimited						898	YTD	YTD	
						1776			
Store Count YTD	274	279	282	368	374	380	391	405	414
Tier 1	63	65	65	100	100	104	105	110	111
Tier 2	37	37	38	56	55	54	54	53	53
Tier 3	140	142	143	157	162	166	172	179	188
Tier 4	34	35	36	55	57	56	60	63	62
Store allocation	100%	100%	100%	100%	100%	100%	100%	100%	100%
Tier 1 %	23%	23%	23%	27%	27%	27%	27%	27%	27%
Tier 2 %	14%	13%	13%	15%	15%	14%	14%	13%	13%
Tier 3 %	51%	51%	51%	43%	43%	44%	44%	44%	45%
Tier 4 %	12%	13%	13%	15%	15%	15%	15%	16%	15%

Source: Dalal & Broacha Research, Company

Valuation

We believe intense competition and inflationary headwinds have compelled V-Mart's management to re-introduce lower price point again. Even external factors like winter getting delayed also impacted revenues on negative side.

The biggest quarter i.e. Q3 which contributes +40% for the current financial year is over and the reality check will be post Q1FY24. We do fear some mark-downs clear off inventory could happen. Current inventory stands at Rs 7667mn i.e. 15% higher v/s full year FY22 and the management too indicated they would like to reduce inventory days from 106 to 90 days.

Valuation: We have reworked our numbers and roll-over to FY25e. For FY23e and FY24e and FY25e on EV/EBITDA basis, at Rs 2548 the stock trades at 21x, 18x and 15x respectively. In the given scenario we expect the stock to underperform its peers for next couple of quarters as V-Mart is more rural and Tier3-4 centric (which constitutes 60% of its stores).

We change our recommendation from BUY in Q2FY23 to Book Profits/switch to Trent.

Financials

V-Mart Retail Ltd											
P&L (Rs mn)	FY21	FY22	FY23E	FY24E	FY25E	Cash Flow St. (Rs. mn)	FY21	FY22	FY23E	FY24E	FY25E
Net Sales	10,754.6	16,661.8	24,223.0	29,188.7	33,639.9	Net Profit	(62.0)	116.4	134.9	284.3	823.6
						Add: Dep. & Amort	1,029.7	1,307.0	1,788.0	1,990.3	2,017.4
Cost of sales	(9,442.5)	(14,618.5)	(21,214.8)	(25,682.5)	(29,441.0)	Cash profits	967.7	1,423.4	1,922.9	2,274.5	2,841.0
						(Inc)/Dec in					
Operating Profit	1,312.1	2,043.3	3,008.2	3,506.1	4,198.9	-Sundry debtors	-	-	-	-	-
Depreciation	(1,029.7)	(1,307.0)	(1,788.0)	(1,990.3)	(2,017.4)	-Inventories	496.1	(2,399.2)	(984.8)	(1,129.6)	(1,341.5)
PBIT	282.4	736.3	1,220.2	1,515.9	2,181.5	-Loans/advances	(9.8)	123.8	1.2	-	-
Other income	210.4	139.6	100.1	75.1	96.3	'-Current Liab and Provisions	(145.0)	1,141.5	1,369.7	980.3	792.8
Interest	(589.5)	(771.9)	(1,140.0)	(1,211.1)	(1,177.2)	'- Other Non Current Assets	(794.7)	0.1	(752.4)	(141.9)	(156.1)
Profit before tax	(96.6)	104.0	180.3	379.9	1,100.6	Change in working capital	(453.3)	(1,133.7)	(366.3)	(291.2)	(704.8)
Exceptional and Extra Ordin	-	-	-	-	-	CF from Oper. activities	514.4	289.7	1,556.6	1,983.4	2,136.2
PBT (Post Extra Ordinary)	(96.6)	104.0	180.3	379.9	1,100.6						
Provision for tax	34.6	12.4	(45.4)	(95.6)	(277.0)	CF from Inv. activities	(3,911.5)	(207.8)	(1,990.3)	(1,743.2)	(1,898.0)
Reported PAT	(62.0)	116.4	134.9	284.3	823.6						
MI	-	-	-	-	-	CF from Fin. activities	3,621.9	(6.0)	344.8	(14.2)	(141.2)
Adjusted PAT	(62.0)	116.4	134.9	284.3	823.6						
						Cash generated/(utilised)	224.8	75.8	(88.9)	226.0	97.0
						Cash at start of the year	49.9	274.7	350.5	261.6	487.5
						Cash at end of the year	274.7	350.5	261.6	487.5	584.5

Balance Sheet	FY21	FY22	FY23E	FY24E	FY25E	Ratios	FY21	FY22	FY23E	FY24E	FY25E
Equity capital	197.0	197.5	197.7	197.7	197.7	OPM	12.2	12.3	12.4	12.0	12.5
Reserves	8,055.2	8,298.7	8,426.8	8,696.9	9,479.3	NPM	(0.6)	0.7	0.6	1.0	2.4
Net worth	8,252.2	8,496.2	8,624.6	8,894.6	9,677.0	Tax rate	(35.8)	11.9	(25.2)	(25.2)	(25.2)
Non Current Liabilities	5,381.3	8,538.0	10,956.7	11,886.7	11,618.4	Growth Ratios (%)					
						Net Sales	(35.3)	54.9	45.4	20.5	15.3
Current Liabilities	2,631.9	3,960.6	5,934.6	6,980.3	7,654.2	Operating Profit	(38.6)	55.7	47.2	16.6	19.8
						PBIT	(76.4)	160.7	65.7	24.2	43.9
CAPITAL EMPLOYED	16,265.4	20,994.8	25,515.9	27,761.7	28,949.7	PAT	(112.6)	(287.7)	15.9	110.8	189.7
Non Current Assets	7,446.2	11,597.7	15,628.3	16,376.6	15,970.1	Per Share (Rs.)					
						Net Earnings (EPS)	(3.1)	5.9	6.8	14.4	41.7
Fixed Assets	6,987.4	11,173.6	15,138.2	15,886.5	15,480.0	Cash Earnings (CPS)	49.1	72.1	97.3	115.0	143.7
Non Current Investments	36.2	37.8	0.1	0.1	0.1	Dividend	-	-	0.8	2.0	2.0
Deferred Tax Asset	252.7	386.3	490.0	490.0	490.0	Book Value	418.8	430.2	436.2	449.8	489.4
Long Term Loans and Advan	128.3	-	-	-	-	Free Cash Flow	(172.4)	4.1	(21.9)	12.1	12.0
Other NON Current Assets	41.6	413.8	611.0	630.5	652.0	Valuation Ratios					
Current Assets	8,819.2	8,983.4	9,276.6	10,754.5	12,327.6	P/E(x)	(809.3)	432.3	373.5	177.2	61.2
Current investments	3,153.6	1,210.6	54.0	54.0	54.0	P/B(x)	6.1	5.9	5.8	5.7	5.2
Inventories	4,283.1	6,682.2	7,667.0	8,796.6	10,138.1	EV/EBIDTA(x)	42.4	28.9	20.7	17.9	14.9
Trade Receivables	-	-	-	-	-	Div. Yield(%)	-	-	0.0	0.1	0.1
Cash and Bank Balances	274.7	350.5	261.6	487.5	584.5	FCF Yield(%)	(6.8)	0.2	(0.9)	0.5	0.5
Short Term Loans and Advan	0.7	5.2	4.0	4.0	4.0	Return Ratios (%)					
Other Current Assets	1,107.2	734.9	1,290.0	1,412.4	1,547.0	ROE	(0.8)	1.4	1.6	3.2	8.5
						ROCE	3.4	8.7	13.4	16.2	21.7
CAPITAL DEPLOYED	16,265.4	20,994.8	25,515.9	27,761.7	28,949.7						

Source: Dalal & Broacha Research, Company

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